



Entrepreneurship

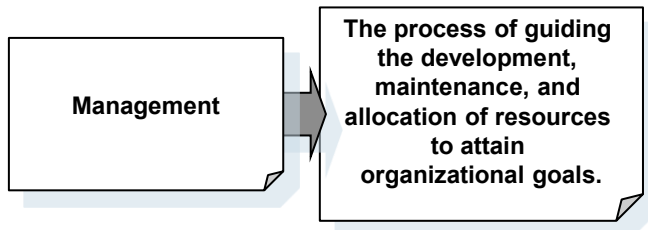
LECTURE NUMBER 09
MANAGING STARTUPS' AND TEAMS

Who Are Managers?

Manager

- Someone who coordinates and oversees the work of other people so that organizational goals can be accomplished.





What is Management?

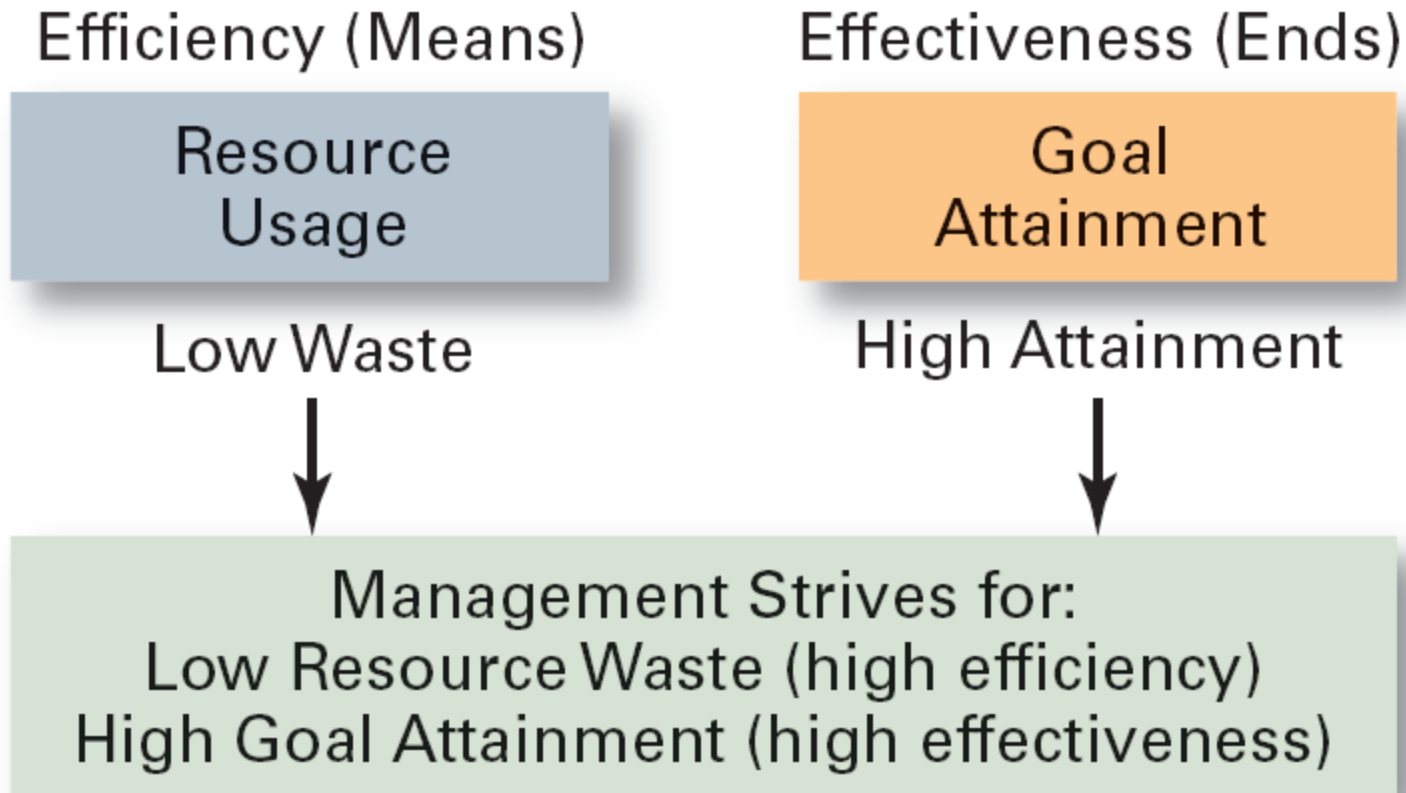
What Is Management?

Managerial Concerns

- Efficiency
 - “Doing things right”
 - Getting the most output for the least inputs
- Effectiveness
 - “Doing the right things”
 - Attaining organizational goals



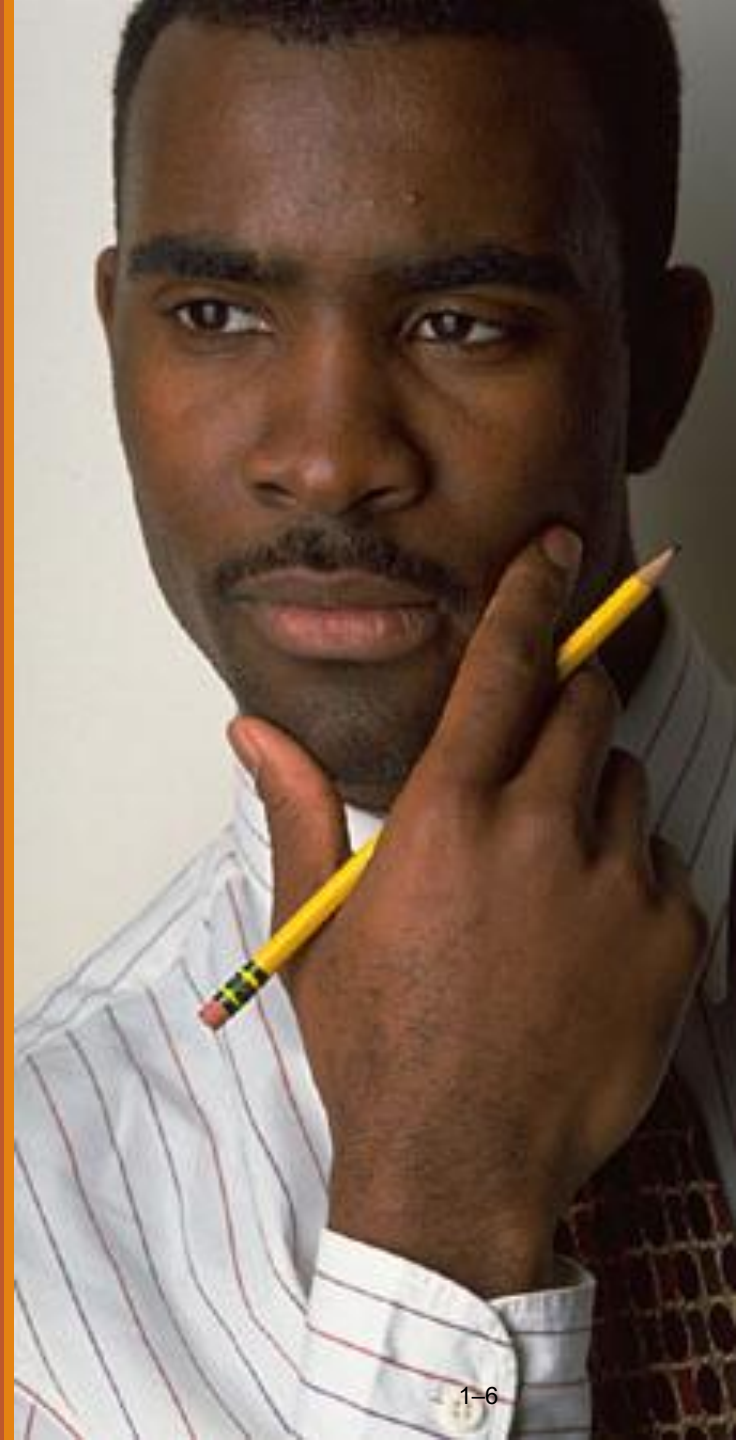
Effectiveness and Efficiency in Management



What Managers Do (Mintzberg)

Actions

- thoughtful thinking
- practical doing



How The Manager's Job Is Changing

The Increasing Importance of Customers

- Customers: the reason that organizations exist
 - Managing customer relationships is the responsibility of all managers and employees.
 - Consistent high quality customer service is essential for survival.

Innovation

- Doing things differently, exploring new territory, and taking risks
 - Managers should encourage employees to be aware of and act on opportunities for innovation.



Human Resource Managers

hire and train
employees,
evaluate
performance,
and determine
compensation



Operations Managers

responsible for
production,
inventory, and
quality control



Marketing Managers

responsible for
getting
products from
producers to
consumers

Areas of Management (1 of 2)



Information Managers

design and
implement
systems to
gather,
organize, and
distribute
information



Financial Managers

plan and
oversee
accounting
functions and
financial
resources

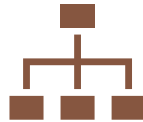
Areas of Management (2 of 2)

Management Roles and Skills



Interpersonal Roles

a category of managerial roles including figurehead, leader, and liaison



Informational Roles

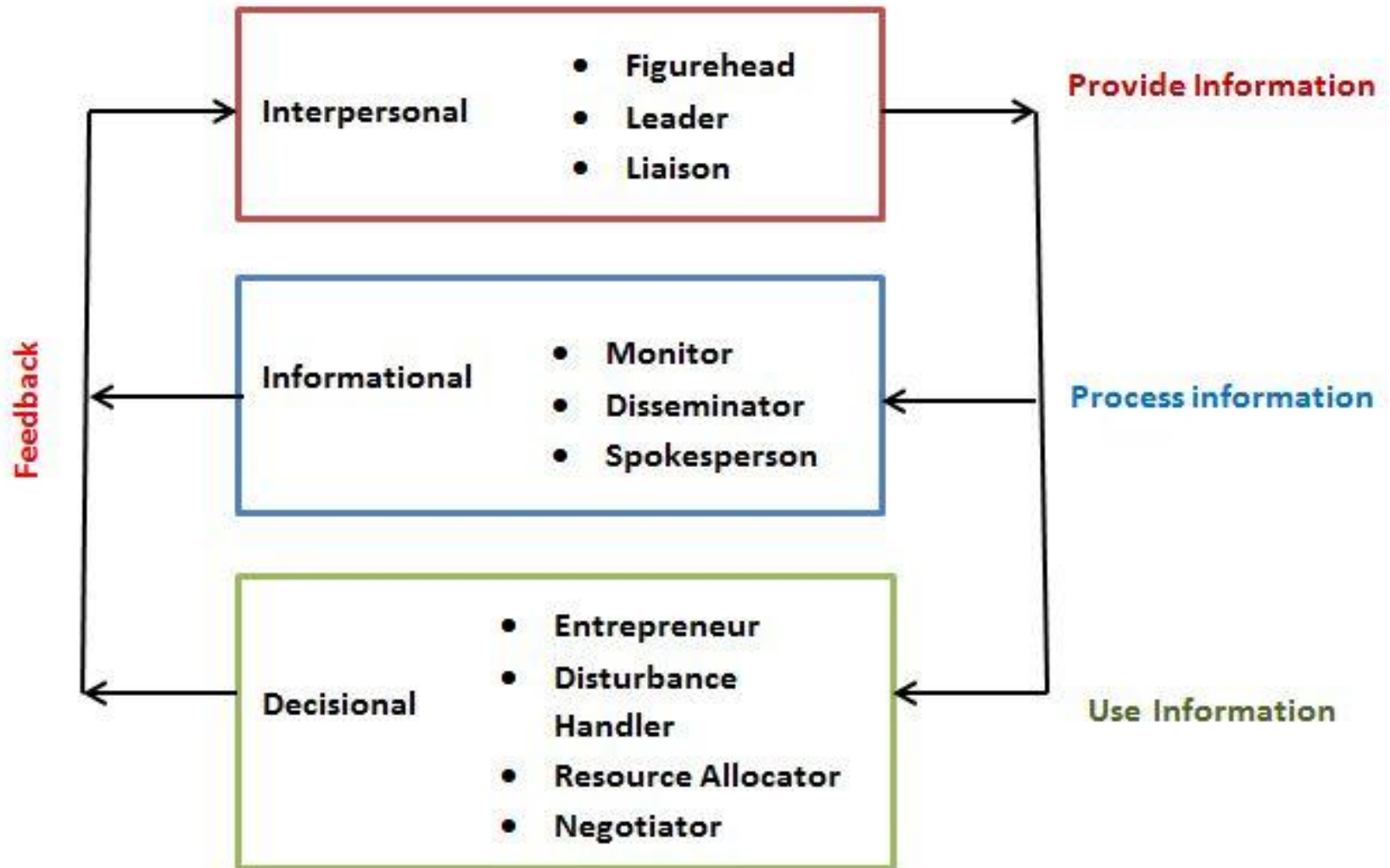
a category of managerial roles including monitor, disseminator, and spokesperson



Decisional Roles

a category of managerial roles including entrepreneur, disturbance handler, resource allocator, and negotiator

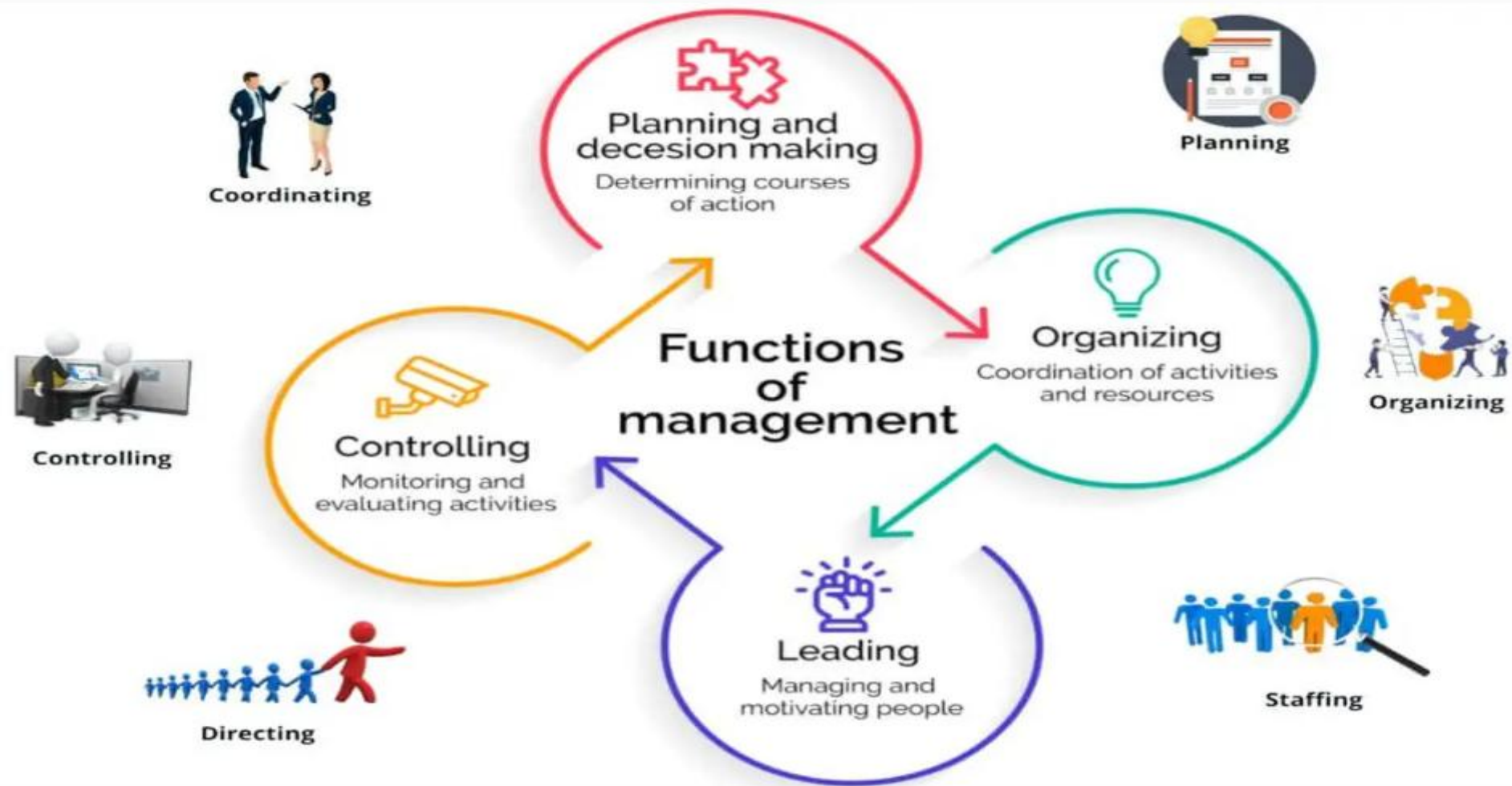
Management Roles by Henry Mintzberg'



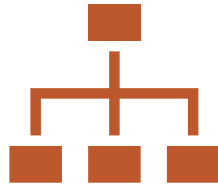
Basic Managerial Roles

Category	Role	Sample Activities
Interpersonal	Figurehead Leader Liaison	Attending ribbon-cutting ceremony for new plant Encouraging employees to improve productivity Coordinating activities of two project groups
Informational	Monitor Disseminator Spokesperson	Scanning industry reports to stay abreast of developments Sending memos outlining new organizational initiatives Making a speech to discuss growth plans
Decisional	Entrepreneur Disturbance handler Resource allocator Negotiator	Developing new ideas and fostering innovation Resolving conflict between two subordinates Reviewing and revising budget requests Reaching agreement with a key supplier or labor union

Managerial Work Activities



Basic Management Functions (1 of 2)



Planning

management process of determining
what an organization needs to do and
how best to get it done

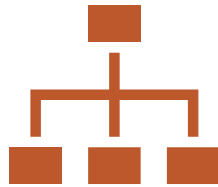


Organizing

management process of determining
how best to arrange an organization's
resources and activities into a coherent
structure

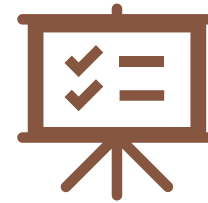
Basic Management Functions

(2 of 2)



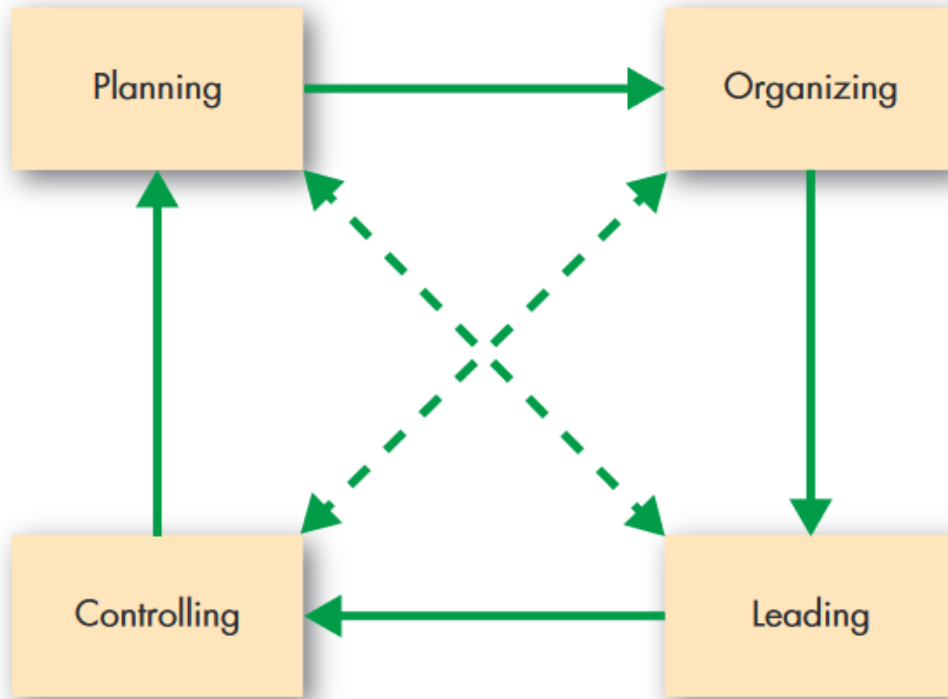
Leading

management process of guiding and motivating employees to meet an organization's objectives



Controlling

management process of monitoring an organization's performance to ensure that it is meeting its goals



The Management Process (2 of 2)

FIGURE 5.1 The Management Process

Planning & Its Types

Strategic

Tactical

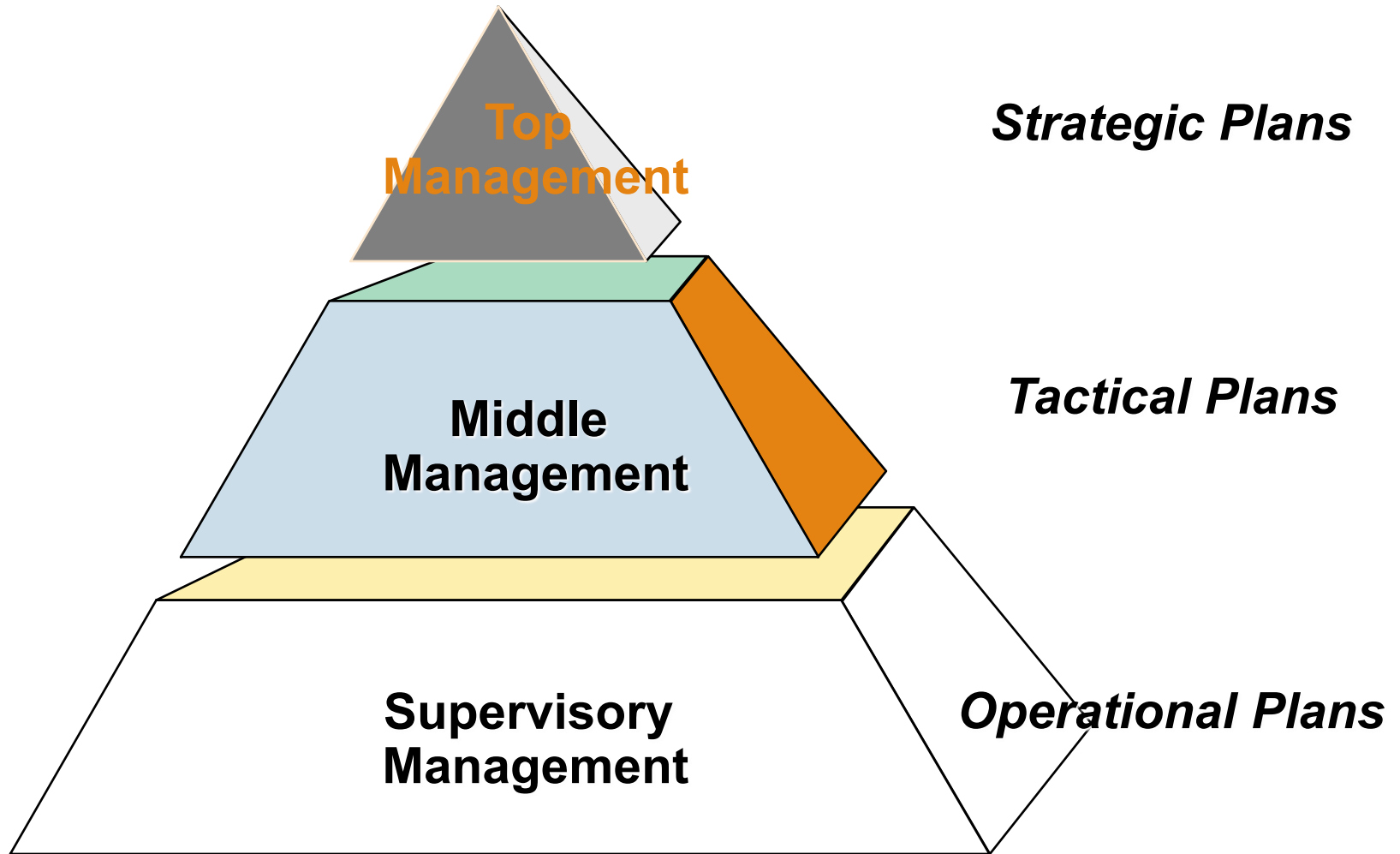
Operational

Contingency

Organizing

Dividing up tasks	(Division of Labor)
Grouping jobs and employees	(Departmentalization)
Assigning authority and responsibility	(Delegation)

Levels of a Managerial Hierarchy



Skills Needed at Different & Management Levels

Top
Managers

Middle
Managers

Lower-level
Managers

**Conceptual
Skills**

**Human
Skills**

**Technical
Skills**

 Level of Importance

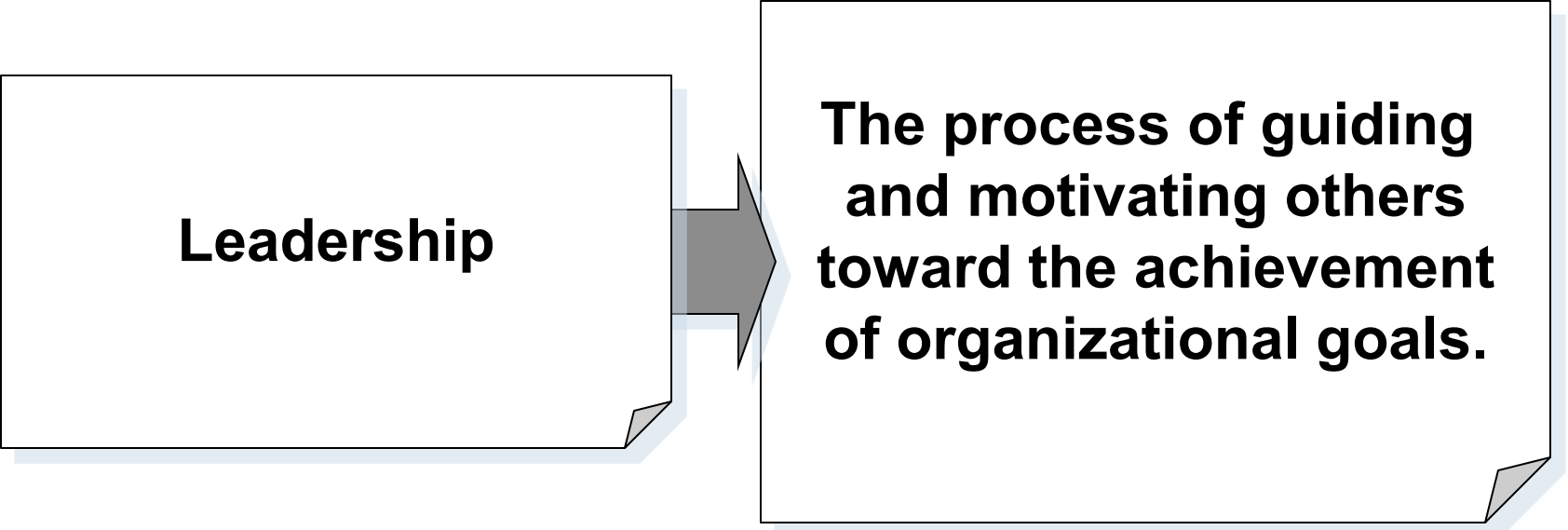


Top Management	Middle Management	Supervisory Management
❖ CEO ❖ President ❖ Governor ❖ General Director	❖ Regional Manager ❖ Division head ❖ Director ❖ Plant manager ❖ Sales manager	❖ Supervisor ❖ Team leader ❖ Foreman

Levels of a Managerial Hierarchy

Leadership

Leadership



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graph LR; A[Leadership] --> B["The process of guiding and motivating others toward the achievement of organizational goals."];
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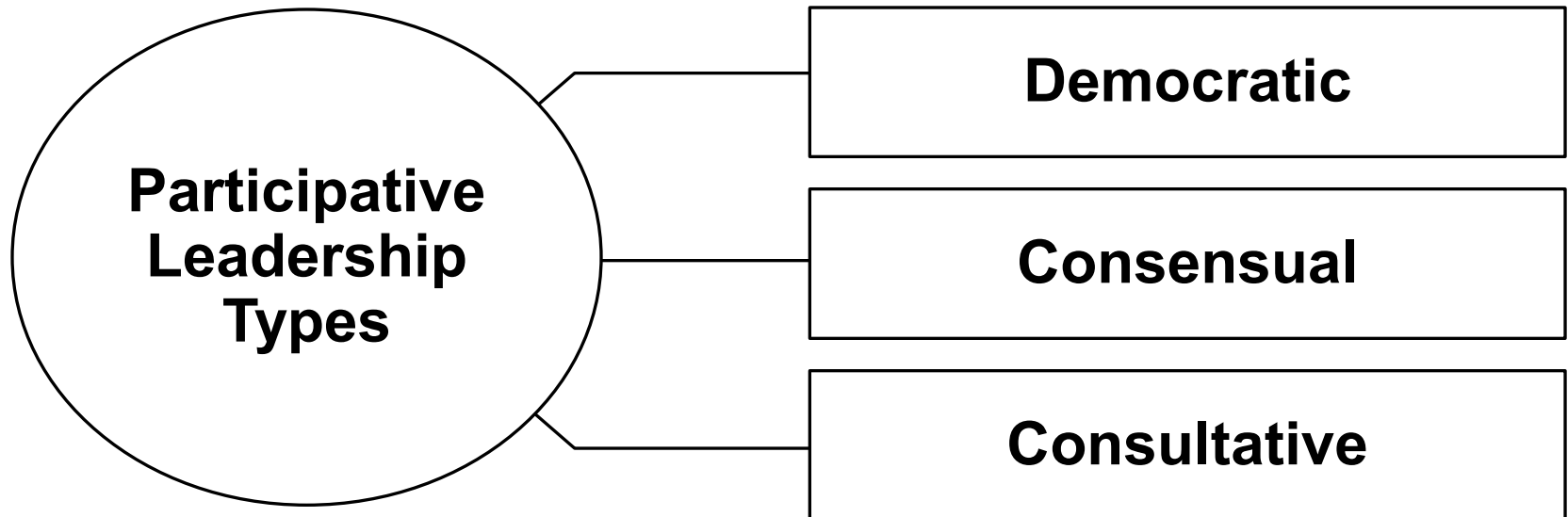
The diagram consists of two rectangular boxes with a light blue drop shadow. The left box contains the word "Leadership". A large, grey, right-pointing arrow connects the right side of the first box to the left side of the second box. The second box contains a definition of leadership.

**The process of guiding
and motivating others
toward the achievement
of organizational goals.**

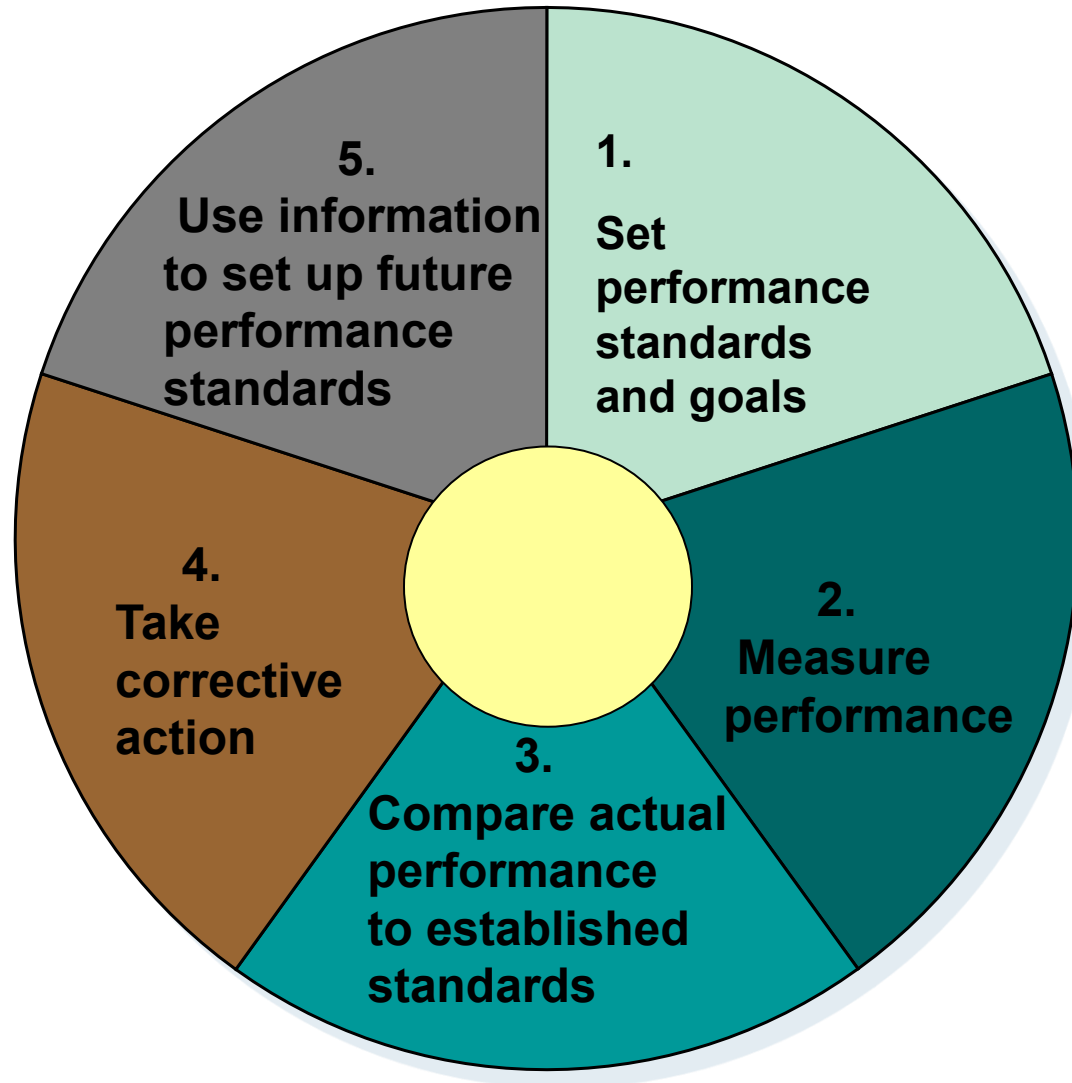
Primary Sources of Power

Legitimate power	Derived from individual's position in an organization
Reward power	Derived from individual's control over rewards
Coercive power	Derived from individual's ability to threaten negative outcomes
Expert power	Derived from individual's extensive knowledge
Referent power	Derived from individual's charisma and respect/admiration inspired

Participative Leadership



The Control Process



The Control Process

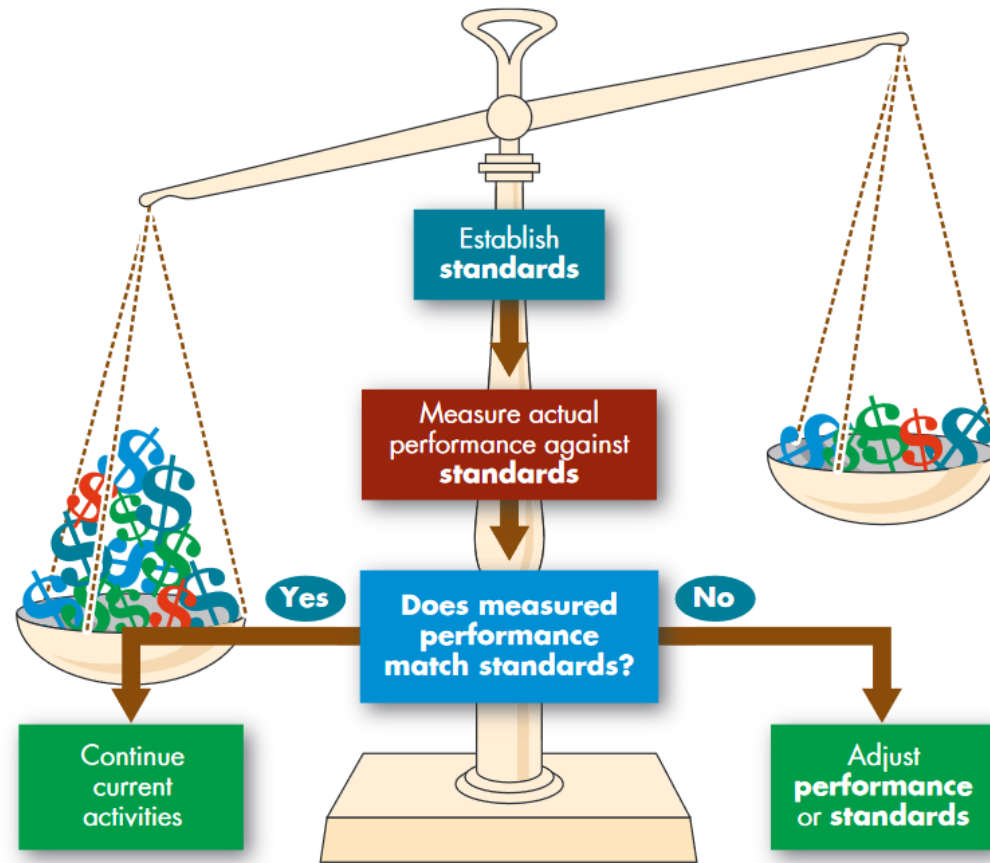


FIGURE 5.2 The Control Process

Recruiting and managing people



The Founder or Founders

1 of 2

Founder or Founders

- The characteristics of the founder or founders of a firm and their early decisions have a significant impact on the manner in which the new venture team takes shape.

Size of the Founding Team

- Studies have shown that 50% to 70% of all new ventures are started by more than one individual.
- It is believed that new ventures that are started by a team rather than a single individual have an advantage.

The Founder or Founders

2 of 2

Qualities of Founders

Factors That May Contribute to a Founders' Success

- Firm started by a team
- Higher education
- Prior entrepreneurial experience
- Relevant industry experience
- The ability to “network” effectively

Factors that Contribute to a Founder or Founders' Success

3 of 3

Broad Social and Professional Network

- Founders with broad social and professional networks have potential access to additional know-how, capital, and customer referrals.



Recruiting and Selecting Key Employees

Recruiting Key Employees

- Startups vary in terms of how quickly they need to add personnel.
- In some instances, the founders will work alone for a period of time. In other instances, employees are hired immediately.
- A skills profile is a chart that depicts the most important skills that are needed and where skills gaps exist in a new firm.

Recruiting people



- Full or part-time
- Regular hours or shift work
- Zero-hours contracts
- Fixed wage/salary or commission/piecework

Recruiting people



**Skills
profile**



**Job
description**



**Person
specification**

Person specification

- Educational attainment
- Experience – e.g. retail sales
- Knowledge – e.g. marketing
- Skills/abilities – e.g. team-working
- Personal attributes – e.g. flexibility
- Personal characteristics – e.g. friendly
- Personal circumstances – e.g. able to work evenings





ESOP: Employee Stock options Plan

- A form of employee compensation in which a company offers employees the right to purchase company shares at a predetermined price.
- Commonly used in startups to attract and retain talent.

Equity Stock Options Plan (ESOs) are a form of employee compensation where a startup grants its employees the right (but not the obligation) to purchase a specific number of shares of the company's stock at a predetermined price (known as the "exercise price" or "strike price") after a certain period, typically based on a **vesting schedule**.

Topics in a shareholders' agreement

Nature of the business

Founders' identity, role & title of founders

Legal form of business

Distribution of shares between founders

Consideration paid for shares or ownership share of each founder

Intellectual property signed over to company by founders

Rights to appoint & remove directors

Dividend policy

Terms to protect minority shareholders

Terms regulating the raising of capital

Conditions affecting founders regarding the valuation & disposal of shares, including buy-back

Other limitations on directors' &/or shareholders freedom

Resolution of disputes between shareholders

Professional advisors

- Accountants
- Lawyers/attorneys
- Business consultants
- Board of Directors
- Equity investors
- Other partners



Meeting the skills needs



- Key/important/desirable
- Full/part-time
- Regular hours/shift work
- Fixed wage/salary
commission/piece-work

SELECTING THE VENTURE TEAM

The ability to work effectively as a team is important – at any level.

Team members bring with them information and experiences, as well as technical and management knowledge.

Prior research suggests that **demographic diversity such as age, gender and functional background** is not as important for entrepreneurial team effectiveness as team process variables – how the team functions and their commitment to achieving overall goals

The personal chemistry between members of the team is important.

Ways Lenders and Investors Add Value to an Entrepreneurial Firm

1 of 2

Help identify and recruit key management personnel

Help the venture fine-tune its business model

Provide introductions to additional sources of capital

Provide insight into the markets that the new venture plans to enter

Serve as a sounding board for new ideas

Serve on the new venture's board of directors or board of advisors